LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is FCCB Structuring ?

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Executive Summary & Institutional Overview

Foreign Currency Convertible Bonds (FCCBs) represent one of the most sophisticated, cost-effective hybrid capital structuring instruments available to Indian corporate issuers seeking cross-border growth financing. An FCCB is an international debt security issued by an Indian corporate entity in a foreign currency (typically US Dollars or Euros) that carries a fixed coupon interest rate and grants the bondholder an option to convert the principal value of the bond into ordinary equity shares of the issuing company at a pre-determined conversion price within a specified conversion window prior to maturity.

Governed by the **Issue of Foreign Currency Convertible Bonds and Ordinary Shares (Through Depository Receipt Mechanism) Scheme, 1993**, the **Reserve Bank of India (RBI) Master Direction – External Commercial Borrowings, Trade Credits and Structured Obligations (Updated 2026)**, the **Companies Act, 2013 (Section 62(1)(c) and Section 71)**, and **SEBI (Issue of Capital and Disclosure Requirements) Regulations, 2018**, FCCB structuring allows Indian corporates to access global institutional capital markets at significantly lower coupon interest rates (typically 1.00% to 3.50% p.a.) compared to domestic Rupee term debt (11.00% to 14.00% p.a.).

This white paper reference textbook serves as an exhaustive, institutional-grade masterclass manual designed to equip corporate finance professionals, CFOs, investment bankers, and credit underwriters with an end-to-end operational, legal, tax, and mathematical understanding of FCCB structuring in India.

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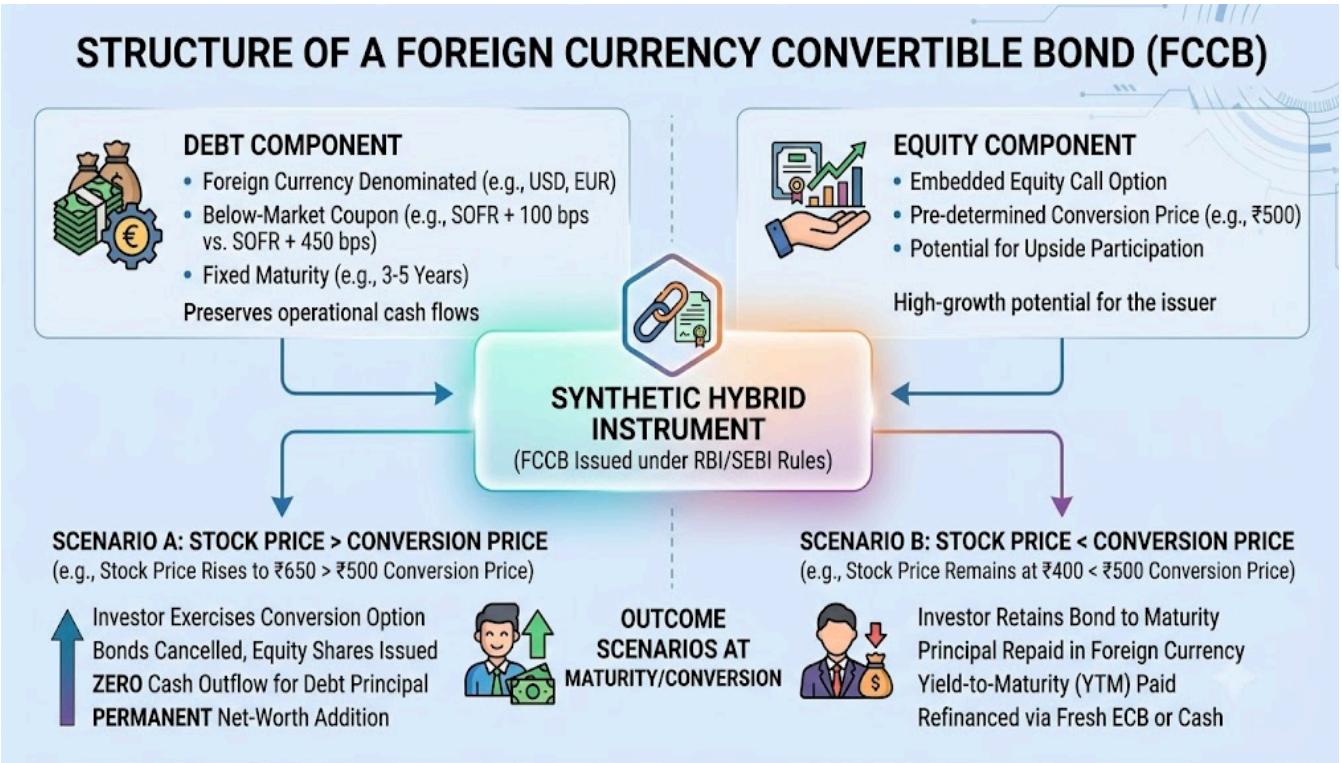
Module 1: Theoretical Foundations, Product Philosophy & Dual Currency Hybrid Structure

1.1 The Hybrid Capital Philosophy: Unifying Fixed Income and Equity Call Options

An FCCB is structurally a **compound financial instrument** under Indian Accounting Standards (**Ind AS 32** and **Ind AS 109**). It combines two distinct financial components into a single transferable security:

1. **A Plain-Vanilla Debt Host Contract:** The issuing company incurs an obligation to pay periodic coupon interest in foreign currency (e.g., USD) and repay the principal (plus any accrued redemption premium or Yield-to-Maturity - YTM) at maturity if the conversion option is not exercised.
2. **An Embedded Equity Call Option:** The bondholder acquires a contractual right (but not an obligation) to convert the face value of the bond into equity shares of the issuing company at a fixed conversion price set at the time of issue, subject to statutory pricing floors mandated by RBI and SEBI.

The primary philosophy underlying FCCB structuring is the **Coupon-Equity Trade-off**. International investors accept a below-market coupon rate (e.g., SOFR + 100 bps vs. SOFR + 450 bps for plain-vanilla ECBs) because they receive a valuable long-term equity call option on a high-growth Indian enterprise. Conversely, the Indian corporate issuer achieves an immediate reduction in its ongoing cash interest burden, preserving liquid operational cash flows while expanding its capital expenditure program.



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1.2 The Dual Currency Risk Paradox and Redemption Default Mechanics

While FCCBs offer low nominal interest rates, they introduce **Dual Currency Risk** for Indian corporate issuers:

- **Operational Currency Mismatch:** The issuer's revenue stream is primarily denominated in Indian Rupees (₹), whereas the FCCB debt service (coupon and principal redemption) is denominated in foreign currency (USD or EUR). If the Indian Rupee depreciates significantly against the US Dollar over the bond tenure (e.g., from ₹83.00/USD to ₹92.00/USD), the Rupee-equivalent debt burden swells proportionally.
- **The Conversion Price Trap:** If the issuer's equity stock price underperforms in the domestic stock exchanges (BSE/NSE) and trades below the FCCB conversion price during the conversion window ("out-of-the-money" bonds), investors will decline conversion and demand full cash redemption at maturity. If the issuer has failed to maintain adequate cash reserves or sinking fund provisions, the sudden lump-sum foreign currency redemption demand can trigger a severe liquidity crisis or default.

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Module 2: Structural Taxonomy & Comparative Capital Matrix

2.1 Taxonomy of International Capital Instruments

Indian corporates can raise cross-border capital through various structured debt and equity instruments. Understanding the distinctions between these instruments is critical for corporate capital structuring.

COMPARATIVE CAPITAL PATHWAYS MATRIX FOR INDIAN CORPORATES

FEATURE / PARAMETER	FCCB STRUCTURING	EXTERNAL COMMERCIAL DEBT	FOREIGN DIRECT INVESTMENT (FDI)
Primary Legal Nature	Hybrid Debt-Equity	Pure Debt Obligation	• Pure Equity / Convertible Preference
Currency Denomination	• Foreign Currency (USD/EUR)	• Foreign Currency (USD/EUR)	• Indian Rupees (INR) converted at spot
Coupon / Interest Burden	• Very Low (1.0% - 3.5% p.a.)	SOFR + 300 to 500 bps	Zero Coupon / Variable Dividend
Conversion to Equity	Optional for Investor	Strictly Prohibited	• Immediate / Compulsory within 10 Yrs
Statutory Ceiling (Annual)	• USD 750M Automatic Route	• USD 750M Automatic Route	100% Automatic in most sectors
Minimum Maturity (MAMP)	3 Years (<$50M) / 5 Years	3 Years (<$50M) / 5 Years	N/A (Permanent Equity Capital)
Balance Sheet Classification	• Compound (Ind AS 32 split)	Financial Liability	Shareholders' Equity
Tax Shield (under Sec 36(1)(iii))	• Coupon Interest Deductible	Interest Fully Deductible	• Non-deductible Dividend Distribution
Investor Downside Protection	Principal Debt Claim	Principal Debt Claim	Equity Loss Absorption

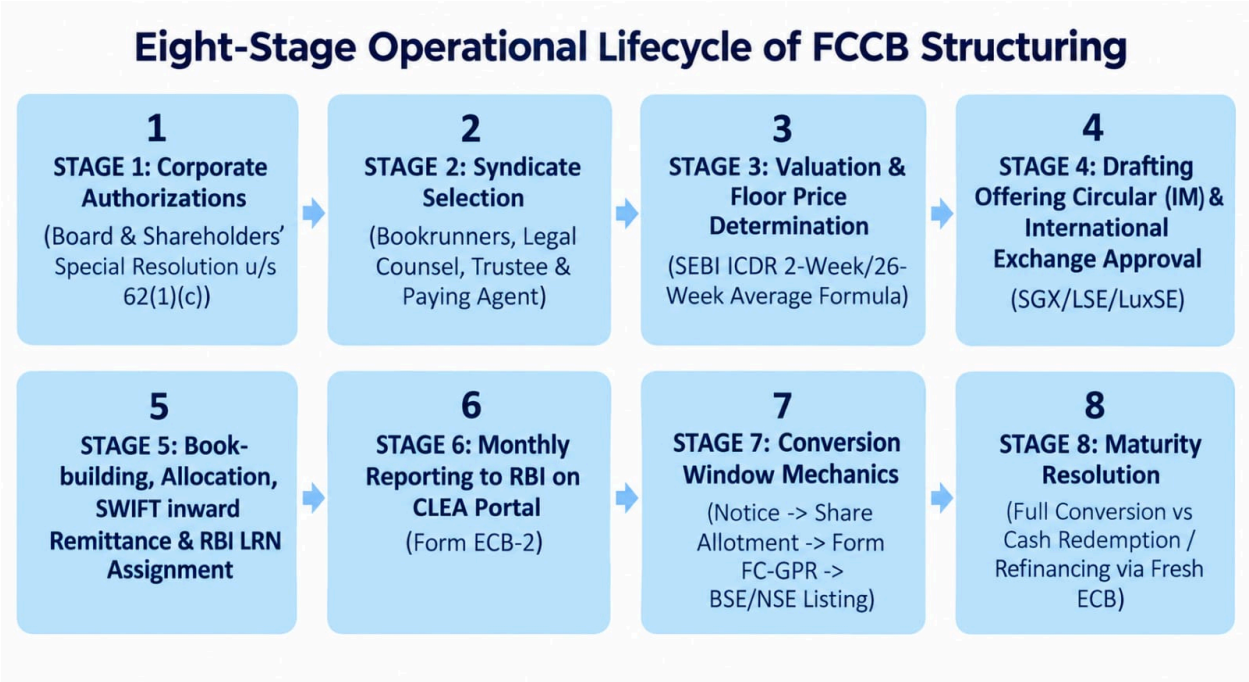
2.2 Key Distinctions: FCCBs vs. FCEBs vs. ADRs/GDRs

- **FCCB vs. FCEB (Foreign Currency Exchangeable Bond):** In an FCCB, the bonds convert into shares of the *issuing company itself*. In an FCEB (governed by the Issue of Foreign Currency Exchangeable Bonds Scheme, 2008), the bonds are issued by an Indian promoter group company and convert into equity shares of an *offshore or listed operating group company* held by the promoter.
- **FCCB vs. ADR/GDR:** ADRs (American Depositary Receipts) and GDRs (Global Depositary Receipts) are pure equity depositary receipts representing equity shares immediately issued and held by an overseas custodian bank. FCCBs represent debt obligations upfront that may or may not convert into equity in the future.

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Module 3: The End-to-End Operational Lifecycle & 8-Stage Execution Waterfall

Executing a Foreign Currency Convertible Bond issue involves an 8-stage operational pipeline spanning corporate approvals, international syndicate formation, regulatory registration, bookbuilding, international exchange listing, and post-issuance servicing.



3.1 Stage-by-Stage Operational Protocol

Stage 1: Corporate Authorizations & Statutory Approvals

- **Board Approval:** The Board of Directors approves the FCCB issuance, setting the maximum issue size (e.g., USD 50 Million), target currency, conversion framework, and intent to raise cross-border capital.
- **Shareholders' Special Resolution:** Under **Section 62(1)(c)** and **Section 71** of the Companies Act, 2013, the issuance of convertible bonds requires approval from existing shareholders via a Special Resolution passed in a General Meeting or through postal ballot.

Stage 2: Selection of International Working Group

The issuer appoints key international intermediaries: 1. **Global Coordinators & Lead Bookrunners (BRLMs):** Manage international investor roadshows, bookbuilding, and pricing. 2. **Issuer's & Bookrunners' Legal Counsel:** Draft the Offering Circular (Information Memorandum), Trust Deed, and Subscription Agreement under English Law and Indian Law. 3. **Institutional Trustee & Paying/Conversion Agent:** Acts as guardian of bondholders' interests, holding security charges (if secured) and administering coupon payments and conversion notices (e.g., Bank of New York Mellon, Deutsche Bank, Citicorp).

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Stage 3: Floor Price Calculation under SEBI ICDR & RBI Guidelines

In accordance with the **Issue of Foreign Currency Convertible Bonds Scheme, 1993** and **SEBI ICDR Regulations**, the conversion price cannot be lower than the higher of: * The average of the weekly high and low of the closing prices of the equity shares quoted on the stock exchange (BSE/NSE) during the **26 weeks** preceding the “Relevant Date”. * The average of the weekly high and low of the closing prices of the equity shares quoted on the stock exchange during the **2 weeks** preceding the “Relevant Date”.

Note on Relevant Date: For FCCBs, the “Relevant Date” is defined as the date 30 days prior to the date on which the General Meeting of shareholders is held to consider the issue under Section 62(1)(c).

Stage 4: Offering Circular (IM) & International Exchange Listing

The issuer prepares a detailed Offering Circular containing audited financial statements, risk factors, capital structure, conversion mechanics, and tax disclosures. The document is submitted for listing approval on international exchanges such as the **Singapore Exchange (SGX-ST)**, **London Stock Exchange (LSE)**, or **Luxembourg Stock Exchange (LuxSE)**.

Stage 5: International Syndication, Remittance & RBI LRN Allocation

Upon closing of the international order book, subscribers execute the Subscription Agreement and remit funds via **SWIFT MT103** into the issuer’s designated offshore escrow account. The Authorised Dealer (AD Category-I) Bank verifies the inward remittance, issues a Foreign Inward Remittance Certificate (FIRC), and submits Form ECB to the RBI to obtain a unique **Loan Registration Number (LRN)**.

Stage 6: Regulatory Reporting on CLEA Portal (Form ECB-2)

Within 7 working days from the close of each month, the issuer must submit a monthly **Form ECB-2 Return** through its AD Category-I bank on the RBI’s **CLEA (Cross Border Borrowing and Lending) portal**, reporting actual drawdowns, coupon disbursements, conversion adjustments, and outstanding principal balances.

Stage 7: Conversion Window Execution

When a bondholder elects to exercise their conversion option: 1. The bondholder submits a formal **Conversion Notice** to the Paying & Conversion Agent along with the physical bond certificate or demat transfer instructions. 2. The agent notifies the Indian corporate issuer, specifying the principal amount being converted and the applicable conversion exchange rate and price. 3. The issuer’s Board Allotment Committee approves the allotment of equity shares within 30 days. 4. The issuer files **Form FC-GPR** on the RBI FIRMS portal within 30 days of share allotment and files **ROC Form PAS-3** with the Registrar of Companies within 15 days. 5. In-principle and final listing approvals are secured from BSE and NSE under **SEBI LODR Regulations**, and shares are credited to the investor’s Indian Custody / Demat account.

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Stage 8: Maturity Resolution: Conversion vs. Cash Redemption

At maturity (typically Year 3 or Year 5): * **If Converted:** The debt obligation is extinguished. The principal liability transfers permanently to Equity Share Capital and Securities Premium. * **If Unconverted:** The issuer must repay the principal in full (plus any contractual Yield-to-Maturity redemption premium) in foreign currency. If cash flows are constrained, the issuer may refinance the redemption by issuing a fresh ECB or FCCB under the RBI Automatic Route.

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Module 4: Underwriting Framework, Floor Conversion Price Rules & Regulatory Compliance

4.1 RBI Automatic Route vs. Approval Route Limits

Under the RBI Master Direction on External Commercial Borrowings: * **Automatic Route:** Eligible Indian corporate entities can raise up to **USD 750 Million** (or equivalent) per financial year without prior RBI approval. * **Approval Route:** Any FCCB issuance exceeding USD 750 Million per financial year or departing from standard minimum average maturity periods or end-use parameters requires explicit prior approval from the RBI's Empowered Committee.

4.2 Minimum Average Maturity Period (MAMP)

- **Standard MAMP:** The minimum average maturity period for FCCBs up to USD 50 Million (or equivalent) is **3 years**.
- **Large Issue MAMP:** For FCCB issues exceeding USD 50 Million, the minimum average maturity period is **5 years**.
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4.3 Permissible End-Uses and Strict Negative Lists

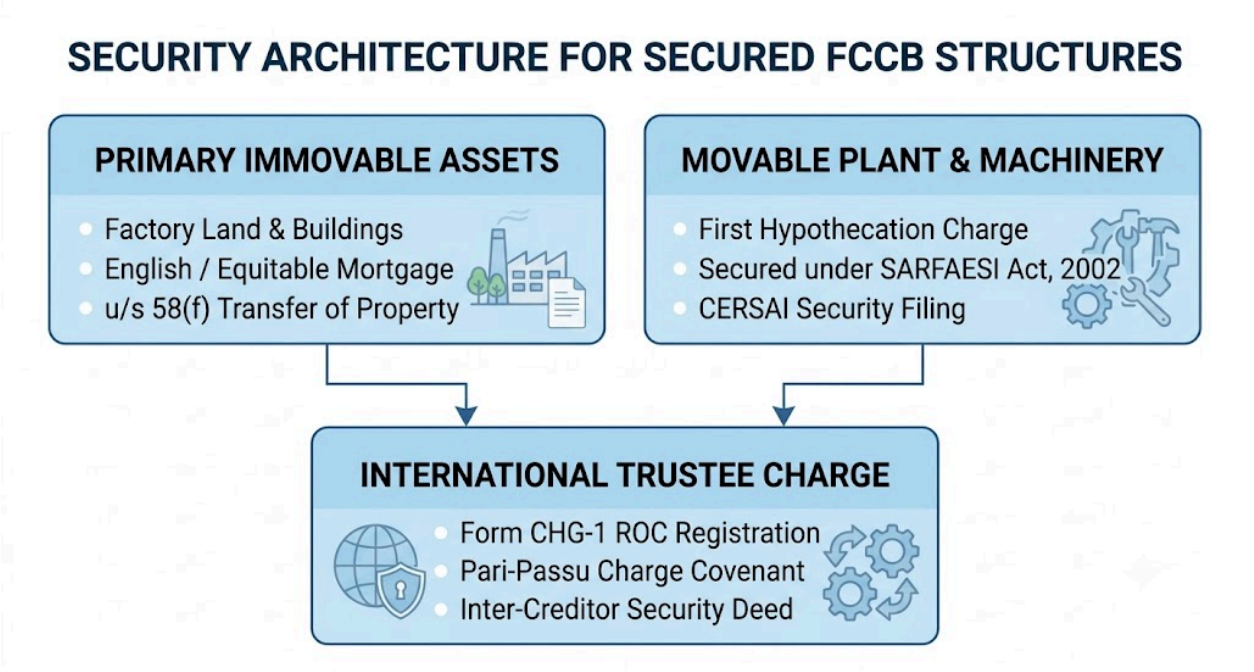
- **Permissible End-Uses:** Capital expenditure for factory expansion, technology acquisition, import of capital goods, overseas direct investment (ODI) in Wholly Owned Subsidiaries (WOS) or Joint Ventures (JV), and domestic infrastructure development.
- **Prohibited End-Uses (Negative List):**
    1. Real estate development or purchase of land (excluding industrial parks/SEZs).
    2. Investment in the primary or secondary stock market (equity, mutual funds, derivatives).
    3. On-lending or working capital financing for domestic entities (except where specific MAMP relaxations apply).
    4. Repayment of domestic Rupee loans (except under specific 5-year/7-year ECB refinancing windows).

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Module 5: Security Architecture, Covenants & Trustee Mechanisms

5.1 Secured vs. Unsecured FCCB Structures

While many international FCCBs are issued as **unsecured, subordinated obligations** based on the issuer's investment-grade international credit rating, middle-market or infrastructure issuers often provide asset-backed security to lower their coupon pricing and enhance marketability.



Statutory Registration Mandates for Secured FCCBs

1. **Transfer of Property Act, 1882 (Section 58(f)):** Creation of an Equitable Mortgage by deposit of title deeds over factory land and commercial properties in favor of the Bond Trustee.
2. **Companies Act, 2013 (Section 77 - Form CHG-1):** Registration of the security charge with the Registrar of Companies (ROC) within 30 days of charge creation.
3. **CERSAI Portal Registration:** Registration of mortgage and hypothecation charges on the Central Registry of Securitisation Asset Reconstruction and Security Interest of India portal within 30 days.

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5.2 Protective Covenants in FCCB Issue Agreements

International bond agreements incorporate stringent protective covenants to safeguard bondholders against financial degradation during the bond tenure:

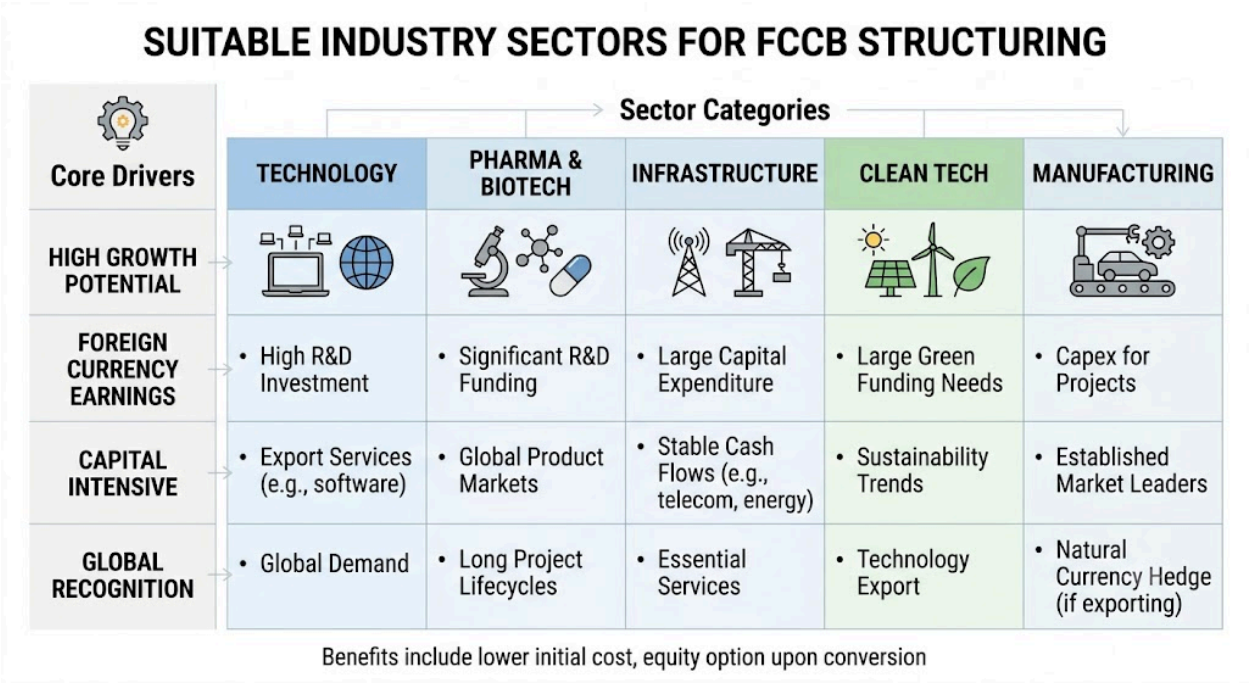
- **Pari-Passu Ranking Covenant:** Requires the FCCB obligations to rank at least equal in right of payment with all other present and future unsecured and unsubordinated indebtedness of the issuer.
- **Negative Pledge Covenant:** Prohibits the issuer from creating any new mortgage, pledge, or charge over its assets to secure other debt obligations without granting equal and rateable security to the FCCB holders.
- **Financial Covenants:**
  - Minimum Interest Coverage Ratio (ICR (3.00x)).
  - Maximum Leverage Ratio (Net Debt / EBITDA (2.75x)).
  - Minimum Net Worth Thresholds.
- **Change of Control Put Option:** Grants bondholders the right to demand immediate 100% redemption of their bonds (at face value plus accrued interest) if a change of control occurs (e.g., promoter equity stake falls below 26% or a hostile takeover occurs).
- **Downward Conversion Price Reset Covenants:** Certain international FCCBs include reset clauses where the conversion price adjusts downward if the issuer's stock price falls below a specified threshold on anniversary dates. *Note:* Under RBI guidelines, any downward reset of the conversion price must strictly comply with the minimum floor conversion price rules established under the SEBI ICDR framework at the time of the reset.

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Module 6: Suitable Industries, Business Profiles & Market Alignment

6.1 Industry Selection Matrix for FCCB Issuance

FCCB structuring is not suitable for all corporate entities. It is specifically aligned with high-growth, capital-intensive, export-earning, or cross-border expanding enterprises.



6.2 Ideal Borrower Credit Profile & Financial Thresholds

To successfully structure, underwrite, and market an FCCB in global financial hubs (London, Singapore, Luxembourg), the Indian corporate issuer should satisfy the following baseline financial parameters:

1. **Market Capitalization:** Minimum domestic market capitalization of **₹1,000 Crores to ₹5,000 Crores** (approx. USD 120M to USD 600M) on BSE/NSE to ensure stock liquidity for converting bondholders.
2. **Track Record of Profitability:** Consistent operating profitability (EBITDA margin (%)) for at least 3 consecutive financial years.
3. **Foreign Currency Revenue Hedge:** Natural hedge through foreign currency export earnings (USD/EUR) covering at least **1.50x** the annual FCCB coupon debt servicing obligation.
4. **Institutional Governance & ESG Compliance:** Transparent accounting under Ind AS / IFRS, Big-4 audit endorsement, clean CIBIL Commercial rank (CMR 1 to CMR 3), and compliance with SEBI LODR corporate governance standards

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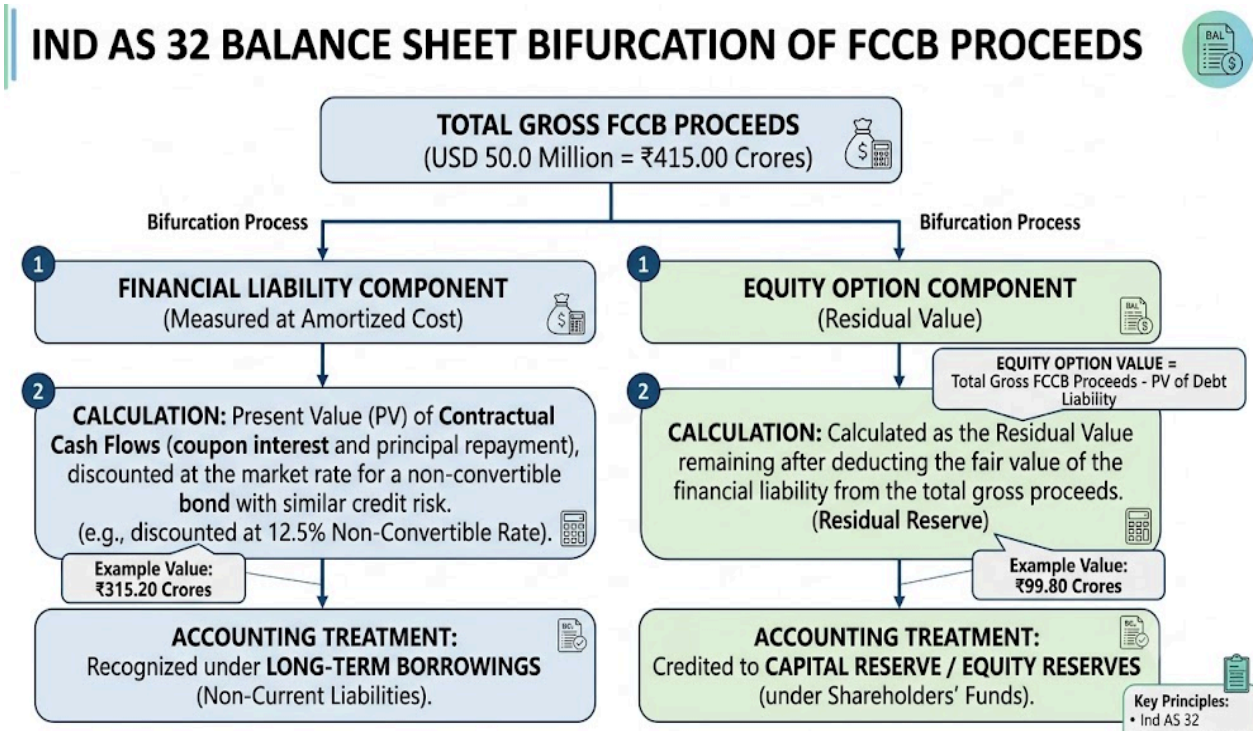
Module 7: Commercial Pricing Mechanics, Cost-Benefit Analysis & Interest Tax Shields

7.1 Ind AS Accounting Mechanics: Bifurcation of Compound Instruments

Under **Ind AS 32 (Financial Instruments: Presentation)**, the gross proceeds raised from an FCCB issuance cannot be recognized entirely as financial debt. The issuer must split the proceeds into two distinct balance sheet components at inception:

1. **Financial Liability Component:** Calculated as the Present Value (PV) of all future contractual cash flows (coupon interest payments and maturity principal/YTM redemption) discounted at the prevailing market interest rate for an equivalent **non-convertible plain-vanilla bond** carrying similar credit risk.
2. **Equity Option Component:** Calculated as the residual value remaining after deducting the fair value of the financial liability from the total gross proceeds. This amount is credited directly to **Capital Reserve / Equity Reserves** under Shareholders' Funds.

$$Equity\ Option\ Value = Total\ Gross\ FCCB\ Proceeds - PV\ of\ Debt\ Liability\ at\ Non - Convertible\ Rate$$



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7.2 Income Tax Framework and Section 115AC Concessions

The tax treatment of FCCBs in India is governed by **Section 115AC** and **Section 195** of the Income Tax Act, 1961:

- **Concessional Tax Rate on Interest (Section 115AC):** Non-resident investors receiving coupon interest on FCCBs issued by Indian companies are subject to a concessional tax rate of **10%** (plus applicable surcharge and cess), which is deducted at source under Section 195, subject to lower Double Taxation Avoidance Agreement (DTAA) treaty rates.
- **Tax Exemption on Equity Conversion:** Under **Section 47(x)** of the Income Tax Act, the conversion of FCCBs into equity shares of the issuing company is **100% EXEMPT from Capital Gains Tax** in India. The holding period of the converted shares is calculated from the date of issuance of the FCCB, and the cost of acquisition is deemed to be the conversion price paid.
- **Corporate Tax Shield on Interest & YTM Redemption (Section 36(1)(iii)):** The coupon interest paid on FCCBs and the amortized redemption premium / YTM are fully deductible as business interest expenses under **Section 36(1)(iii)** of the Income Tax Act, creating a substantial corporate income tax shield at the domestic corporate tax rate of **25.17%** (inclusive of surcharge and cess under Section 115BAA).

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Module 8: Regulatory Compliance, RBI Directions & Default/Restructuring Mechanics

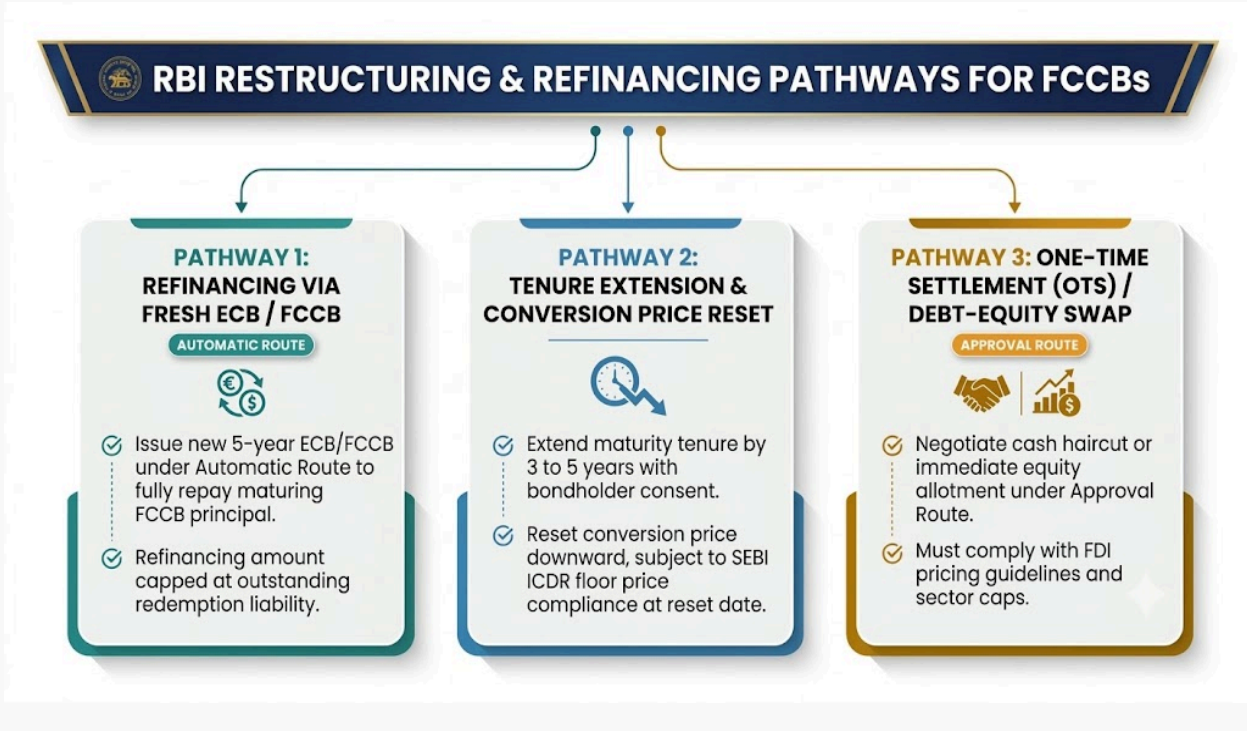
8.1 Insolvency Framework & FCCB Holders as Financial Creditors

In the event of an unconverted maturity default, FCCB holders hold the legal status of **Unsecured Financial Creditors** under **Section 5(8)(c)** and **Section 5(8)(i)** of the **Insolvency and Bankruptcy Code, 2016 (IBC)**.

As established by the Supreme Court of India in *Swiss Ribbons Pvt. Ltd. v. Union of India (2019)* and *Innoventive Industries Ltd. v. ICICI Bank (2017)*: * FCCB holders or the designated Bond Trustee can file an application under **Section 7 of the IBC** to initiate the Corporate Insolvency Resolution Process (CIRP) against the defaulting Indian corporate issuer before the National Company Law Tribunal (NCLT) if the default threshold exceeds ₹1 Crore. * In the Committee of Creditors (CoC), FCCB financial claims rank pari-passu with domestic unsecured financial bank lenders, providing significant leverage during debt restructuring negotiations.

8.2 RBI Framework for Refinancing and Restructuring Distressed FCCBs

When an Indian corporate faces an impending FCCB maturity default due to depressed domestic stock prices preventing equity conversion, the RBI framework permits three primary restructuring pathways under the Automatic and Approval Routes:



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Module 9: Comprehensive Real-World Case Study (Mumbai Global Pharma Tech Ltd.)

9.1 Company Profile & Strategic Capital Requirements

- **Corporate Entity:** *Mumbai Global Pharma Tech Ltd. (MGPTL)*, a leading mid-cap active pharmaceutical ingredient (API) and USFDA-approved formulations exporter based in Mumbai, Maharashtra.
- **Domestic Listing Status:** Publicly listed on BSE and NSE. Current Market Price (CMP) = **₹370.37 per share**. Total Outstanding Shares = 10,00,00,000 (10 Crores). Market Capitalization = **₹3,703.70 Crores** (approx. USD 446.23 Million).
- **Corporate Income Tax Rate: 25.17%** (inclusive of surcharge and cess under Section 115BAA).
- **Internal Return on Capital Employed (ROCE): 16.50% p.a.**
- **Growth Project:** MGPTL requires **USD 50 Million** (equivalent to **₹415.00 Crores** at a spot exchange rate of **USD 1.00 = ₹83.00**) to construct a new USFDA-compliant sterile injectable plant in SEZ SEZ-Pithampur and acquire a European specialty formulation distributor.

9.2 Financing Option Comparison & Facility Structuring

Option 1: Domestic Rupee Term Loan (RTL)

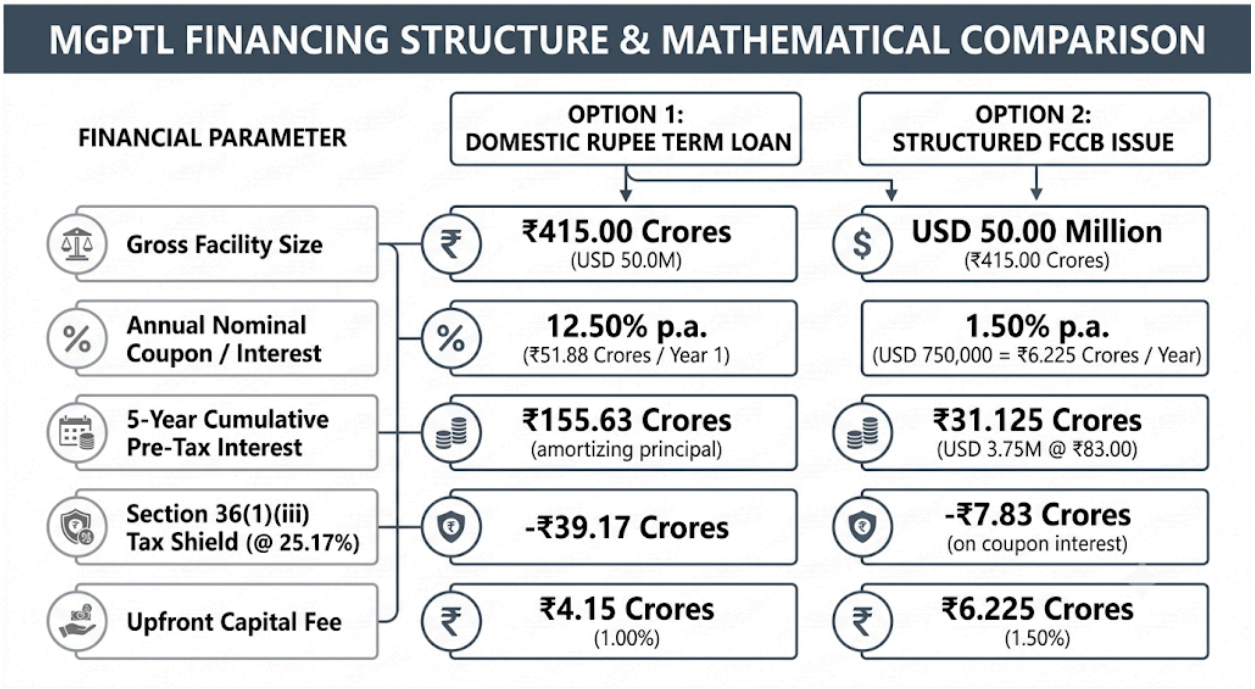
- **Sanctioned Amount:** ₹415.00 Crores (USD 50M equivalent).
- **Interest Rate:** 12.50% p.a. floating (MCLR benchmarked).
- **Facility Tenure:** 5 Years with annual principal amortization of ₹83.00 Crores/year.
- **Upfront Processing Fee:** 1.00% (₹4.15 Crores).

Option 2: Structured Foreign Currency Convertible Bond (FCCB) Issue

- **Gross Issue Size: USD 50.00 Million** (equivalent to **₹415.00 Crores** at spot USD/INR = 83.00).
- **Coupon Interest Rate: 1.50% p.a.** payable semi-annually in USD.
- **Maturity Tenure: 5 Years (60 Months)**.
- **Conversion Price:** Set at a **35.00% premium** over the SEBI ICDR floor price of ₹370.37/share, establishing a **Conversion Price of ₹500.00 per share**.
- **Fixed Exchange Rate for Conversion:** USD 1.00 = ₹83.00 (establishing an effective conversion rate of **83,000 shares per USD 100,000 bond**). Total shares to be issued upon 100% conversion = **83,00,000 shares** (representing an equity dilution of only **7.66%**).

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- **Redemption Yield at Maturity (YTM):** If unconverted, bonds redeem at **125.00% of principal face value** (yielding an effective YTM of 4.25% p.a. inclusive of the 1.50% coupon).
- **Upfront Issue Costs:** 1.50% (USD 750,000 = ₹6.225 Crores) covering legal, trustee, merchant banking, and SGX listing fees.



9.3 Comparative Cash Flow & Mathematical Analysis

SCENARIO A: 100% Equity Conversion Executed (Stock Price Rises to ₹650 > ₹500 Conversion Price)

During Year 3, MGPTL's equity stock price reaches ₹650.00 per share on the BSE/NSE due to successful USFDA approvals. International bondholders exercise 100% of their conversion options.

1. **Debt Extinguishment & Equity Creation:**
   - Principal Debt Extinguished = **USD 50.00 Million (₹415.00 Crores)**.
   - New Equity Shares Issued = **83,00,000 shares** of face value ₹10.00 each.
   - Additions to Equity Share Capital = **₹8.30 Crores**.
   - Additions to Securities Premium Reserve = **₹406.70 Crores** (₹415.00 Cr - ₹8.30 Cr).
   - **Maturity Cash Principal Outflow = ₹0.00** (Zero debt repayment outflow!).
2. **Cumulative 5-Year Cash Servicing Outflow Comparison:**

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- Option 1 (Domestic Debt): Pre-tax interest (₹155.63 Cr) - Tax Shield (₹39.17 Cr) + Principal (₹415.00 Cr) + Fee (₹4.15 Cr) = **₹535.61 Crores**.
- Option 2 (FCCB Converted): Coupon Interest paid prior to conversion (approx. 2.5 years = ₹15.56 Cr) - Tax Shield (₹3.92 Cr) + Upfront Fee (₹6.23 Cr) + Principal Outflow (₹0.00) = **₹17.87 Crores**.

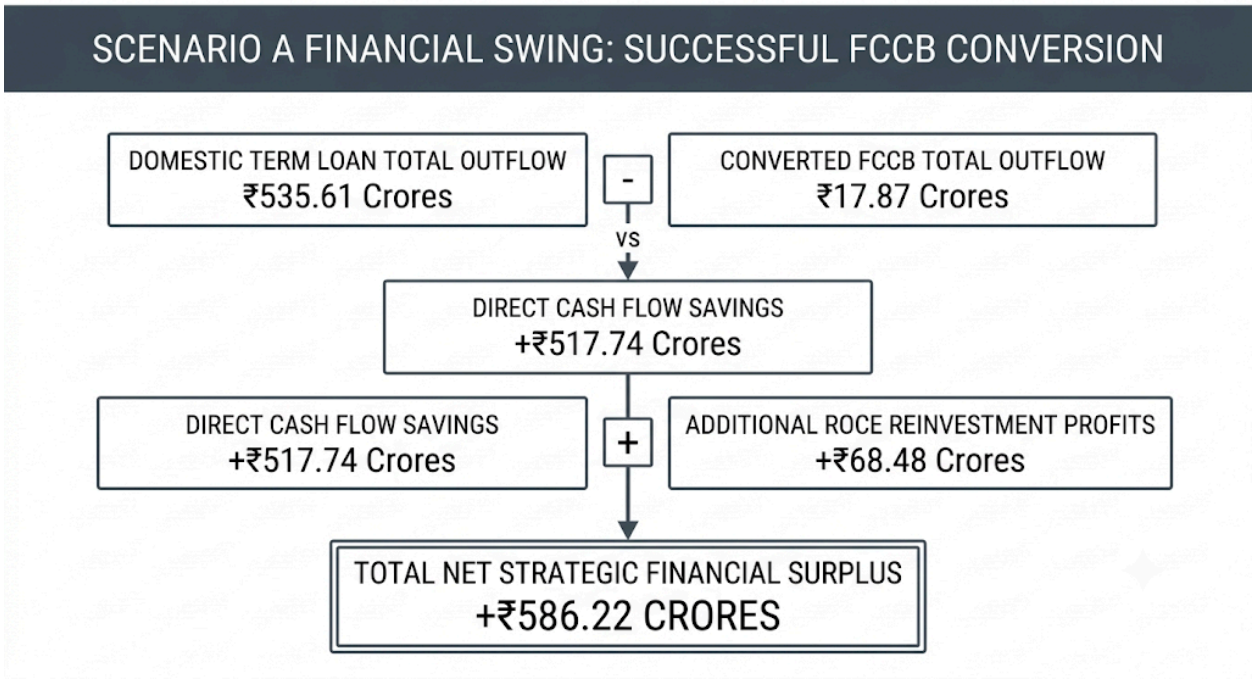
3. **Net Cash & Opportunity Cost Advantage under Scenario A:**

$$Direct\ Cash\ Servicing\ Savings = ₹535.61\ Crores - ₹17.87\ Crores = ₹517.74\ Crores$$

In addition, by eliminating annual Rupee principal debt amortization (₹83.00 Crores/year), MGPTL retains ₹83.00 Crores per year in liquid cash reserves, earning an operational ROCE yield of 16.50% p.a.

$$Reinvestment\ ROCE\ Profits\ Earned\ (@\ 16.50\%\ p.a.\ on\ preserved\ cash) =+ ₹68.48\ Crores$$

$$TOTAL\ STRATEGIC\ FINANCIAL\ WEALTH\ SURPLUS\ (SCENARIO\ A) = ₹517.74\ Cr + ₹68.48\ Cr =+ ₹586.22\ CRORES$$



SCENARIO B: Unconverted Cash Redemption at Maturity (Stock Price Remains at ₹400 < ₹500 Conversion Price)

If MGPTL's stock price remains below ₹500.00/share at Year 5, investors decline conversion and demand cash redemption at **125.00% YTM**.

1. **Maturity Cash Outflow Calculation:**
   - Principal Redemption = USD 50.00 Million x 125.00% = **USD 62.50 Million**.
   - Assuming exchange rate depreciates to USD 1.00 = ₹88.00 at Year 5:

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- Gross Maturity Outflow = USD 62.50M x ₹88.00 = **₹550.00 Crores**.

2. **Post-Tax Opportunity Adjusted Comparison:**
    - FCCB Coupon Interest Paid (5 Yrs @ 1.50%) = USD 3.75M x ₹85.50 (avg spot) = **₹32.06 Crores**.
    - Redemption Premium Paid = USD 12.50M x ₹88.00 = **₹110.00 Crores**.
    - Section 36(1)(iii) Tax Shield on Coupon & Amortized YTM Premium (@ 25.17%) = **-₹35.76 Crores**.
    - Upfront Fee = **₹6.23 Crores**.
    - Net Post-Tax Cost of FCCB Option B = ₹32.06 Cr + ₹110.00 Cr - ₹35.76 Cr + ₹6.23 Cr = **₹112.53 Crores**.
    - Net Post-Tax Cost of Domestic Loan Option 1 = ₹155.63 Cr - ₹39.17 Cr + ₹4.15 Cr = **₹120.61 Crores**.

Strategic Conclusion: Even under **Scenario B (Unconverted Cash Redemption)**, Option 2 (FCCB Structuring) generates a **net post-tax savings of ₹8.08 Crores** over the Domestic Rupee Term Loan, while providing 5 years of bullet principal deferral that allowed MGPTL to complete its sterile injectable plant and generate operational revenues!

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Module 10: 10-Question Professional Certification Examination & Detailed Rationales

Examination Paper: Masterclass Certification in FCCB Structuring

Question 1:

Under Section 62(1)(c) of the Companies Act, 2013, what corporate authorization is mandatory before an Indian company can issue Foreign Currency Convertible Bonds (FCCBs) to non-resident investors? - A) Simple majority Board Resolution only. - B) Ordinary Resolution passed by shareholders in a General Meeting. - C) Special Resolution passed by shareholders in a General Meeting. - D) Prior written consent from the Registrar of Companies (ROC) only.

Question 2:

Under current RBI Master Directions on External Commercial Borrowings (ECB), what is the maximum aggregate annual limit for raising FCCBs under the “Automatic Route” without prior RBI approval? - A) USD 100 Million per financial year. - B) USD 250 Million per financial year. - C) USD 750 Million or equivalent per financial year. - D) USD 1.50 Billion per financial year.

Question 3:

According to SEBI ICDR Regulations and the 1993 FCCB Scheme, the floor conversion price for an FCCB issue cannot be less than the higher of the weekly high and low closing prices of the equity shares during which two preceding time frames? - A) 1 week and 12 weeks preceding the Relevant Date. - B) 2 weeks and 26 weeks preceding the Relevant Date. - C) 4 weeks and 52 weeks preceding the Relevant Date. - D) 30 days and 180 days preceding the Relevant Date.

Question 4:

Under Ind AS 32 (Financial Instruments: Presentation), how must an Indian corporate issuer account for the proceeds received from a Foreign Currency Convertible Bond on its balance sheet at inception? - A) Recognize 100% of proceeds as Long-Term Debt Liability until conversion. - B) Recognize 100% of proceeds as Shareholders’ Equity Reserves. - C) Split proceeds into a Financial Liability component (PV of debt cash flows) and an Equity Option component (residual reserve). - D) Recognize as a Deferred Contingent Liability off-balance sheet.

Question 5:

What is the tax treatment under Section 47(x) of the Income Tax Act, 1961 when an international investor converts their FCCBs into ordinary equity shares of the Indian issuing company? - A) Subject to 20% Long-Term Capital Gains Tax. - B) Subject to 30% Short-Term Capital Gains Tax. - C) Completely exempt from Capital Gains Tax in India. - D) Subject to Securities Transaction Tax (STT) at 1% of face value.

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Question 6:

Under Section 115AC of the Income Tax Act, 1961, what is the concessional withholding tax rate applicable to coupon interest paid on FCCBs to non-resident investors (excluding surcharge and cess)? - A) 5.0% - B) 10.0% - C) 15.0% - D) 20.0%

Question 7:

What is the Minimum Average Maturity Period (MAMP) mandated by RBI for an FCCB issue exceeding USD 50 Million under the Automatic Route? - A) 1 Year - B) 3 Years - C) 5 Years - D) 7 Years

Question 8:

If an Indian corporate issuer defaults on the cash redemption of an unconverted FCCB at maturity, what legal status do the FCCB holders occupy under the Insolvency and Bankruptcy Code, 2016 (IBC)? - A) Operational Creditors under Section 5(20). - B) Unsecured Financial Creditors under Section 5(8)(c) & 5(8)(i). - C) Equity Shareholders with voting rights. - D) Preferred Statutory Tax Claimants.

Question 9:

Which of the following end-uses is strictly PROHIBITED for funds raised through FCCBs under RBI ECB directions? - A) Import of capital goods for factory expansion. - B) Construction of a sterile injectable manufacturing facility. - C) Investment in the primary or secondary domestic stock market. - D) Investment in overseas direct investment (ODI) Wholly Owned Subsidiaries.

Question 10:

An Indian company issues a USD 100 Million 5-year FCCB at a fixed exchange rate of USD 1.00 = ₹83.00 with a conversion price set at ₹500.00 per share (face value ₹10.00). If 100% of the bondholders exercise their conversion rights, how many new equity shares will the company issue, and what will be the addition to the Securities Premium Reserve? - A) 1,66,00,000 shares; Securities Premium = ₹813.40 Crores. - B) 2,00,00,000 shares; Securities Premium = ₹830.00 Crores. - C) 1,00,00,000 shares; Securities Premium = ₹415.00 Crores. - D) 1,66,00,000 shares; Securities Premium = ₹830.00 Crores.

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Answer Key & Detailed Rationales

Answer 1: C

Rationale: Under Section 62(1)(c) of the Companies Act, 2013, any issuance of shares or convertible securities to persons other than existing shareholders on a non-rights basis requires the approval of shareholders via a **Special Resolution** (requiring a 75% majority vote) passed in a General Meeting.

Answer 2: C

Rationale: Under the RBI Master Direction on External Commercial Borrowings, eligible Indian entities can raise up to **USD 750 Million** (or equivalent) per financial year under the Automatic Route without seeking prior approval from the RBI or Ministry of Finance.

Answer 3: B

Rationale: Under SEBI ICDR Regulations and the 1993 FCCB Scheme, the floor conversion price must be at least the higher of the average of the weekly high and low closing prices quoted on the stock exchange during the **2 weeks** or **26 weeks** preceding the Relevant Date (30 days prior to the shareholders' meeting).

Answer 4: C

Rationale: Ind AS 32 mandates that compound financial instruments like FCCBs must be bifurcated at inception. The financial liability is recognized at the present value of future debt cash flows discounted at a market non-convertible debt rate, and the residual amount is recognized as an equity conversion option reserve.

Answer 5: C

Rationale: Under Section 47(x) of the Income Tax Act, 1961, any transfer by way of conversion of bonds or debentures into shares or debentures of that company is explicitly excluded from the definition of "transfer" and is therefore **100% exempt from Capital Gains Tax**.

Answer 6: B

Rationale: Section 115AC of the Income Tax Act establishes a concessional withholding tax rate of **10.0%** (plus applicable surcharge and cess) on interest income received by non-residents on FCCBs issued by Indian companies.

Answer 7: C

Rationale: Under RBI ECB directions, the Minimum Average Maturity Period (MAMP) for FCCB issues up to USD 50 Million is 3 years, whereas for issues exceeding USD 50 Million, the mandatory MAMP is **5 years**.

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Answer 8: B

Rationale: Under Section 5(8)(c) and 5(8)(i) of the IBC 2016, any liability in respect of any note, bond, or debenture constitutes “financial debt.” Consequently, FCCB holders are **Unsecured Financial Creditors** entitled to initiate CIRP under Section 7 of the IBC.

Answer 9: C

Rationale: RBI ECB directions explicitly prohibit the utilization of ECB/FCCB proceeds for speculative stock market investments, real estate trading, or purchasing land for non-industrial purposes.

Answer 10: A

Rationale: 1. Gross Rupee Value of Issue = USD 100M x ₹83.00 = **₹830.00 Crores**. 2. Conversion Price = **₹500.00 per share**. 3. Total Shares Issued = ₹8,30,00,00,000 / ₹500.00 = **1,66,00,000 equity shares**. 4. Addition to Equity Share Capital = 1,66,00,000 shares x ₹10.00 face value = **₹16.60 Crores**. 5. Addition to Securities Premium Reserve = ₹830.00 Crores - ₹16.60 Crores = **₹813.40 Crores**. Therefore, Option A is the correct answer.

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